WEEK 10 · LECTURE L3 · UNIT IV

High Performance Work Systems

Pfeffer's practices, the ability, motivation and opportunity framework, the causality debate, and team based performance management.

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Explain Pfeffer's seven practices and the mechanism behind each.
- Evaluate the evidence that high performance work systems pay.
- Apply the ability, motivation and opportunity framework.
- Evaluate the causality challenge and the problem of social loafing in teams.

COURSE OUTCOMES

CLO 1 (design integrated systems) and CLO 5 (create sustainable performance ecosystems).

COMMIT BEFORE THEORY

Firms that adopt high performance practices become more profitable.

Agree or disagree. Could the arrow run the other way?

PFEFFER (1998)

Seven practices of successful organizations

Practice	Mechanism
Employment security	Commitment and willingness to improve
Selective hiring	Ability and fit
Self managed teams and decentralization	Opportunity and ownership
High pay contingent on performance	Motivation
Extensive training	Ability
Reduced status differences	Trust and voice
Sharing information	Line of sight

THEORY IN DEPTH · HUSELID (1995); COMBS ET AL. (2006)

Do high performance work systems pay?

THE CORE IDEA

High performance practices relate to lower turnover and higher productivity and financial performance.

HOW IT WORKS

Combs et al. found an average correlation of about 0.20 with performance; systems mattered more than single practices.

LIMITS AND CRITIQUE

Mostly cross sectional; practices are often reported by one manager per firm.

IN PRACTICE

A plant that adds training but keeps rigid hierarchy and secrecy gets less than one that changes the bundle.

EXAM LENS

Cite both, then raise the causality challenge from Wright et al. (2005).

Three bundles, three routes

Bundle	Example practices	Route to performance
Skill enhancing	Selection, training	Human capital
Motivation enhancing	Pay, appraisal, careers	Effort and commitment
Opportunity enhancing	Teams, voice, information	Discretionary contribution

THEORY IN DEPTH · WRIGHT ET AL. (2005)

The causality challenge

THE CORE IDEA

HR practices correlated as strongly with past performance as with future performance.

HOW IT WORKS

Successful firms may adopt high performance practices because they can afford them, not only the reverse.

LIMITS AND CRITIQUE

One sample of business units; it questions direction without settling it.

IN PRACTICE

A profitable year funds a training budget; next year the training gets credit for the profit.

EXAM LENS

The key critical point in any HPWS answer. It earns the critical analysis marks.

The problem of the hidden contributor

LATANÉ, WILLIAMS AND HARKINS (1979)

People exert less effort when individual contributions cannot be identified: social loafing.

DESIGN RESPONSE

Combine team goals with identifiable individual contribution and peer input.

COMPARE AND EVALUATE

Single practices versus bundles

	Single practice	Bundle (system)
Effect size	Smaller	Larger (Combs et al.)
Logic	Fix one lever	Practices reinforce each other
Risk	Contradicts other practices	Costly; hard to copy
Evidence on cause	Weak	Also weak (Wright et al.)

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

"High performance work systems cause better firm performance." Critically evaluate. **20 marks**

A strong answer: explains Pfeffer and the bundles; reports Huselid and Combs et al.; presents Wright et al. on causality; concludes carefully.

Which two of Pfeffer's practices would most improve an Indian manufacturing firm within a year? Justify. **20 marks**

A strong answer: chooses and justifies using mechanisms; uses the ability, motivation and opportunity framework; notes fit and cost.

What is social loafing and how can performance systems prevent it? **10 marks**

A strong answer: defines it; cites Latané et al.; one design remedy.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. Bundles matter more than single practices
2. Ability, motivation and opportunity are the three routes
3. Profitable firms may buy practices: causality runs both ways

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

Eby, L. T., Allen, T. D., Evans, S. C., Ng, T., & DuBois, D. L. (2008). Does mentoring matter? A multidisciplinary meta analysis comparing mentored and non mentored individuals. *Journal of Vocational Behavior, 72*(2), 254–267.

Jennings, C. (2013). *70:20:10 framework explained* [Practitioner monograph]. (Listed in the Lesson Plan; year not independently confirmed.)

Pfeffer, J. (1998). *The human equation: Building profits by putting people first*. Harvard Business School Press. Chapter 2.

HOW TO USE THESE

These are the Week 10 set readings. Pfeffer (1998) is the core reading for this lecture.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture (1 of 2)

Works named on the slides of this lecture. They are background sources, not set readings.

Combs, J., Liu, Y., Hall, A., & Ketchen, D. (2006). How much do high performance work practices matter? A meta analysis of their effects on organizational performance. *Personnel Psychology, 59*(3), 501–528. https://doi.org/10.1111/j.1744-6570.2006.00045.x

Huselid, M. A. (1995). The impact of human resource management practices on turnover, productivity, and corporate financial performance. *Academy of Management Journal, 38*(3), 635–672. https://doi.org/10.2307/256741

Jiang, K., Lepak, D. P., Hu, J., & Baer, J. C. (2012). How does human resource management influence organizational outcomes? A meta analytic investigation of mediating mechanisms. *Academy of Management Journal, 55*(6), 1264–1294. https://doi.org/10.5465/amj.2011.0088

Sources for this lecture (2 of 2)

Latané, B., Williams, K., & Harkins, S. (1979). Many hands make light the work: The causes and consequences of social loafing. *Journal of Personality and Social Psychology, 37*(6), 822–832. https://doi.org/10.1037/0022-3514.37.6.822

Pfeffer, J. (1998). *The human equation: Building profits by putting people first*. Harvard Business School Press.

Wright, P. M., Gardner, T. M., Moynihan, L. M., & Allen, M. R. (2005). The relationship between HR practices and firm performance: Examining causal order. *Personnel Psychology, 58*(2), 409–446. https://doi.org/10.1111/j.1744-6570.2005.00487.x